IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – III
COMPANY PETITION NO. (CAA) – 66(ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 08(ND)/2021

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

AADI BEST BLOWER PRIVATE LIMITED

...APPLICANT NO.1/TRANSFEROR COMPANY

AND

MEADOW INFRADEVELOPERS PRIVATE LIMITED

...APPLICANT NO.2/TRANSFROR COMPANY

AND

RGV FININVEST PRIVATE LIMITED

...APPLICANT NO.3/TRANSFROR COMPANY

AND

SHIVVALLEY STEELS AND ALLOYS PRIVATE LIMITED

...APPLICANT NO.4/TRANSFEROR COMPANY

AND

TRN IMPEX PRIVATE LIMITED

...APPLICANT NO.5/TRANSFEROR COMPANY

SNEREA REALTORS PRIVATE LIMITED

...APPLICANT NO.6/TRANSFEROR COMPANY

AADI BEST INFRAHEIGHT PRIVATE LIMITED

...APPLICANT NO.7/TRANSFEROR COMPANY

GENEX DEVELOPERS PRIVATE LIMITED

...APPLICANT NO.8/TRANSFEROR COMPANY

ESSEL BILDTECH PRIVATE LIMITED

...APPLICANT NO.9/TRANSFEROR COMPANY

SHRISHTI COMPUTERS PRIVATE LIMITED

.... APPLICANT NO.10/TRANSFEREE COMPANY

Order Delivered On:19.05.2023

CORAM:

SHRI. BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)
SHRI. ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

For the Applicant : Mr. Abhishek Nanta, PCS, Adv. Rishabh Sachdeva Adv. Ujjwal Mendiratta.

For the OL : Ms. Hemlata Rawat, Advocate.

For the IT Dept. : Mr. Sunil Agarwal Sr. Standing Counsel, Mr. Shivansh B Pandya Jr. Standing Counsel, Adv. Utkarsh Tiwari

For the RD : Adv. Shankari Mishra

ORDER

PER: ATUL CHATURVEDI, HON'BLE MEMBER, (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies viz., AADI BEST BLOWER PRIVATE LIMITED (Transferor Company/Applicant No.1) and MEADOW INFRADEVELOPERS PRIVATE LIMITED (Transferor Company/Applicant No.2) and RGV FININVEST PRIVATE LIMITED (Transferor Company/Applicant No.3) and SHIVVALLEY STEELS AND ALLOYS PRIVATE LIMITED

(Transferor Company/Applicant No.4) and TRN IMPEX PRIVATE LIMITED (Transferor Company/Applicant No.5) and SNEREA REALOTORS PRIVATE LIMITED (Transferor Company/Applicant No.6) and AADI BEST INFRAHEIGHT PRIVATE LIMITED (Transferor Company/Applicant No.7) and GENEX DEVELOPERS PRIVATE LIMITED (Transferor Company/Applicant No.8) and ESSEL BILDTECH PRIVATE LIMITED (Transferor Company/Applicant No.9) and SHRISHTHI COMPUTERS PRIVATE LIMITED (Transferee Company No.10) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with Shristhi computers Private Limited (Transferee Company). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No.1 i.e. Aadi Best Blower Private Limited is a private limited company incorporated on 11.07.2008 under the provisions of the Companies Act, 1956 vide CIN: U31909DL2008PTC180802, having its registered office situated at 104, Rishabh Ipex Mall, I.P. Extension, Delhi-110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The Authorized Share Capital of the Transferor Company is Rs. 1,50,00,000/- (One Crore Fifty Lakhs Only) divided into 15,00,000 (Fifteen Lakhs) Equity shares of Rs. 10/- (Ten) each total. The issued,

subscribed and paid-up capital of the Company is Rs. 1,10,36,000/- (One Crore Ten Lakhs Thirty-Six Thousand Only) divided into 11,03,600 (Eleven lakhs Three Thousand Six Hundred) Equity shares of Rs. 10/- (Ten) each.

3. The Transferor Company No. 2 i.e. Meadow Infradevelopers Private Limited (CIN: U45400DL2007PTC172046) was incorporated on 31.12.2007 under the provisions of the Companies Act, 1956, and having its registered office at BF-116, Shalimar Bagh, New Delhi-110088. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Transferor Company is Rs. 5,00,00,000/- (Five Crore Only) divided into 50,00,000 (Fifty Lakhs) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,60,80,000/- (One Crore Sixty Lakhs Eighty Thousand Only) divided into 16,08,000 (Sixteen Lakhs Eight Thousand) Equity shares of Rs. 10/- (Ten) each.

4. The Transferor Company No. 3 i.e. RGV Fininvest Private Limited (CIN: U74899DL1995PTC070728) was incorporated on 12.07.1995 under the provisions of the Companies Act, 1956, and having its registered office at GF-6, Rishabh Corporate Tower, Plot No. 16, Community Centre, Karkardooma, New Delhi-110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Transferor Company is Rs.

5,00,00,000/- (Five Crore Only) divided into 50,00,000 (Fifty Lakhs) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 3,12,90,560/- (Three Crore Twelve Lakhs Ninety Thousand Five Hundred Sixty) divided into 31,29,056 (Thirty-One Lakhs Twenty-Nine Thousand Fifty-Six) Equity shares of Rs. 10/- (Ten) each.

5. The Transferor Company No. 4 i.e. Shivvalley Steels and Alloys Private Limited (CIN: U2720DL2009PTC192716) was incorporated on 30.07.2009 under the provisions of the Companies Act, 1956, and having its registered office at Ground Floor, Plot No. 16, Rishabh Corporate Tower, Karkardooma Community Centre, Delhi-110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 5,00,00,000/- (Five Crore Only) divided into 50,00,000 (Fifty Lakh) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,36,00,000/- (One Crore Thirty-Six Lakhs Only) divided into 13,60,000 (Thirteen Lakhs Sixty Thousand) Equity shares of Rs. 10/- (Ten) each total.

6. The Transferor Company No. 5 i.e. TRN Impex Private Limited Limited (CIN: U51909DL2004PTC128815) was incorporated on 03.09.2004 under the provisions of the Companies Act, 1956, and having its registered office at Ground Floor, Plot No.16, Rishabh Corporate Tower, Karkardooma Community Centre, Delhi East Delhi-110092. The

registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 1,00,00,000/- (One Crore Only) Equity shares of Rs. 10/- (Ten) each total Rs. 10,00,000/- (Ten Lakhs). The issued, subscribed and paid-up capital of the Company is Rs. 99,07,340/- (Ninety-Nine Lakhs Seven Thousand Three Hundred Forty Only) divided into 9,90,734 (Nine Lakhs Ninety Thousand Seven Hundred Thirty-Four) Equity shares of Rs. 10/- (Ten) each total.

7. The Transferor Company No. 6 i.e. Snerea Realtors Private Limited (CIN: U74899DL2006PTC144492) was incorporated on 04.01.2006 under the provisions of the Companies Act, 1956, and having its registered office at 104, Rishabh Ipex Mall, I.P. Extension Delhi East Delhi 110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 5,00,00,000/- (Five Crore Only) divided into 50,00,000 (Fifty Lakh) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,61,80,000/- (One Crore Sixty-One Lakhs Eighty Thousand Only) divided into 16,18,000 (Sixteen Lakhs Eighteen Thousand) Equity shares of Rs. 10/- (Ten) each total.

8. The Transferor Company No. 7 i.e. Aadi Best Infraheight Private Limited (CIN: U70102DL2011PTC227892) was incorporated on 24.11.2011 under the provisions of the Companies Act, 1956, and

having its registered office at Ground Floor, Plot No.16, Rishabh Corporate Tower, Karkardooma Community Centre, Delhi East Delhi-110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 1,00,000/- (One Lakh Only) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,00,000/- (One Lakhs) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total.

9. The Transferor Company No. 8 i.e Genex Developers Private Limited (CIN: U45400DL2010PTC198973) was incorporated on 11.02.2010 under the provisions of the Companies Act, 1956, and having its registered office at 104, Rishabh Ipex Mall, I.P. Extension Delhi East Delhi 110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 1,00,000/- (One Lakh Only) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,00,000/- (One Lakhs) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total.

10. The Transferor Company No. 9 i.e Essel Buildtech Private Limited (CIN: U45400DL2010PTC198734) was incorporated on 11.02.2010

under the provisions of the Companies Act, 1956, and having its registered office at 104, Rishabh Ipex Mall, I.P. Extension Delhi East Delhi 110092. The registered office of the Transferor Company is under the jurisdiction of the Tribunal. The authorised share capital of the Company is Rs. 1,00,000/- (One Lakh Only) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 1,00,000/- (One Lakhs) divided into 10,000 (Ten Thousand) Equity shares of Rs. 10/- (Ten) each total.

11. The Transferee Company No. 10 i.e Shrishti Computers Private Limited (CIN: U72200DL2005PTC135820) incorporated on 04.05.2005 under the provisions of the Companies Act, 1956, and having its registered office at Ground Floor, Plot No. 16, Rishabh Corporate Tower Karkardooma Community Centre, Delhi East Delhi 110092. The registered office of the Transferee Company is under the jurisdiction of the Tribunal. The authorised share capital of the Transferee Company is Rs. 75,00,000/- (Seventy-Five Lakhs Only) divided into 7,50,000 (Seven Lakhs Fifty Thousand) Equity shares of Rs. 10/- (Ten) each total. The issued, subscribed and paid-up capital of the Company is Rs. 69,20,000 (Sixty-Nine Lakhs Twenty Thousand) divided into 6,92,000 (Six Lakhs Ninety-Two Thousand) Equity shares of Rs. 10/- (Ten) each total.

12. The scheme proposed and as submitted for amalgamation of Transferor Companies with and into Transferee Company would result in consolidation of business, simplification of shareholding structure thereby strengthening position of Transferee Company. It is intended that Transferee Company shall have sharper focus on underlying businesses with an aim of achieving operational efficiencies, stronger financials and growth prospects for the people and organisation connected therewith. Accordingly, consolidation of businesses of the said companies would be in their best interests as well as their respective shareholders and other stakeholders. The proposed amalgamation envisaged under this scheme are in line with the current global industry practice to achieve size, scalability, integration, greater financial strength and flexibility thereby maximising shareholder value to achieve higher long-terms financial returns. The other benefits likely to arise through the proposed arrangement as mentioned by Petitioners are as follows:

i) Optimum and efficient utilization of capital, resources, assets and facilities.

ii) Enhancement of competitive strengths including financial resources.

iii) Consolidation of businesses and enhancement of economic value addition and shareholder value.

iv) Obtaining synergy benefits.

v) Better management and focus on growing the businesses.

vi) The amalgamation would result in reduction of overheads, administrative, managerial and other expenditure and bring about operational rationalization, efficiency and optimum utilization of various resources.

13. The appointed date as fixed for the proposed scheme of Amalgamation and confirmed by this Tribunal is 1st April, 2019.

14. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)08/ND/2021. Vide order dated 27th May, 2022, the meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Companies and the Transferee Company was dispensed with.

15. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, (iv) Official Liquidator

16. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in “Business Standard” (English) New Delhi edition as well as “Jansatta” Hindi edition, both dated on 22.06.2022. In addition to the public notice, notices were served on the

Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, Reserve Bank of India and to the other relevant sectoral regulators.

17. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

18. The Regional Director had raised certain objections to the scheme which were duly addressed by the Petitioner Company. In daily order dated 20.03.2023, it has been noted as follows: "the counsel appearing for the RD submits that there are no objections to the present scheme"

19. The Official Liquidator has raised no specific objection has been raised against the approval of the Scheme. In daily Order dated 20.03.2023 the Learned Counsel for the Official Liquidator submitted that there are no objections to the present scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

20. That vide Order dated 20.03.2023 Learned Counsel for the Income Tax Department submitted that the report has been filed by the Department with respect to 6 Transferor Companies out of 9 Transferor Company and there are no objections to the said report. With respect

to remaining three Transferor Companies, the Income Tax Department was granted several opportunities but they have failed to file any report. However, the Transferee Company has filed affidavit dated 24.09.2022 stating as follows:

i) That on behalf of the Transferee Company, I hereby confirm that legal proceedings of whatsoever nature by or against the Transferor Company 1, Transferor Company 2 and Transferor Company 3, Transferor Company 4, Transferor Company 5, Transferor Company 6, Transferor Company No 7, Transferor Company No 8 and Transferor Company 9 ("Transferor Companies") pending and/or arising on or after the appointed date as recorded in the Scheme of Amalgamation ("Scheme") and relating to the Transferor Companies shall not abate or be discontinued or be in any way prejudicial affected by reason of the Scheme or by anything contained in this scheme but shall be continued and enforced by or against the Transferee Company in the manner and to the same extent as would or might have been continued and enforced by or against the Transferor Companies if the Scheme had not been made.

ii) That, the Transferee Company hereby further confirms that in case of any taxes of any nature, duties and cases or any other like payments or deductions of the Transferor Companies shall be paid off by Transferee Company No. 10.

iii) That any outstanding demand/liability of the Transferor Companies shall be paid by Transferee Company namely Shrishti Computers Private Limited (PAN-AAICS9543H).

21. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

22. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

23. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

24. The shareholders of the petitioner company are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

25. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

26. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the

law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

27. This tribunal further directs with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption

of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

28. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be

dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

29. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

30. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

SD/- **SD/-**

(ATUL CHATURVEDI) **(BACHU VENKAT BALARAM DAS)**

MEMBER (TECHNICAL) **MEMBER(JUDICIAL)**